WALL STREET ALPHA

Private Credit Overview

August 2026

What Is Private Credit?

Private credit is lending that happens outside banks and public markets. A private credit fund negotiates a loan directly with a borrower and holds it to maturity, instead of it trading like a syndicated loan or public bond. Lenders are investment funds, business development companies (BDCs), and specialty finance firms.

Why It's Growing So Quickly

- Post-2008 rules regulated banks away from riskier corporate lending. Private credit funds filled the gap with speed banks can't match.
- Global AUM has grown from about $500B a decade ago to $2 trillion+ today, with most forecasts projecting $4 trillion by 2030.
- Investors get higher yields than public credit, typically on floating rates with stronger lender protections.

Private Credit Strategies

- **Direct Lending:** senior secured loans to middle-market companies, often backing buyouts.
- **Mezzanine Debt:** higher-yielding debt sitting below senior loans in the capital structure.
- **Asset-Based Finance:** loans secured by equipment, receivables, royalties, and other assets.
- **Distressed Credit:** lending to, or restructuring, stressed borrowers.
- **Real Estate & Infrastructure Credit:** debt secured by hard assets or long-term cash flows.

Who's Hiring?

Apollo, Ares, Blackstone, Blue Owl, Sixth Street, Oaktree, Goldman Sachs, Golub, KKR, Blackstone, Audax, Bain Capital, Carlyle and many other funds are racing to build out private credit platforms, creating analyst and associate seats that didn't exist five years ago.

Private Credit vs. Private Equity Pay-Per-Hour

PE and private credit often work the same deal. The PE firm buys the company, the credit fund lends the money to finance it, and PE must underwrite every exit scenario. Private credit answers one question: will we get paid back? A smaller question means a smaller job, and it shows up in the hours.

	PE Associate	Private Credit Associate
Typical weekly hours	70-80+ (90+ in live deals)	50-65 (rarely above 70)
Year 1-2 all-in comp	$275K-$425K	$225K-$350K
Approx. $/hour	~$85	~$105

Why Private Credit Is Less Competitive To Break Into

- It's more a perception problem than a substance one. Private equity sounds like ownership, and private credit sounds like a lending job. That gap alone keeps resume-focused candidates from even applying.
- Recruiting also starts later. For associate roles, PE on-cycle recruiting begins up to two years before the job starts and moves fast, while private credit hiring happens later, leans more need-based, and stays open to broader backgrounds.
- The applicant pool is smaller. The work is seen as more process-driven than PE, so fewer prestige-driven candidates go after it, which results in opportunities for anyone willing to take the skills seriously.

The Skill Most Candidates Are Missing

Private credit funds don't just underwrite companies. Many finance their own loan books using warehouse facilities and securitization structures like asset backed securities (ABS) and CLOs. Knowing how a credit deal is built, including cash flow waterfalls, tranching, and credit enhancement, is an easy way to stand out.

Build The Skills That Get Tested

This program teaches you to build a real credit deal model in Excel, the same skills that get grilled in interviews.

Enroll in the Program → LearnPrivateCredit